



Nyadi Hydropower Limited

Buddha Nagar, Kathmandu, Nepal

UNAUDITED STATEMENT OF FINANCIAL POSITION AS ON CHAITRA 30, 2080

Figures in NPR '000

Particulars	This Quarter Ending (Chaitra End 2080)	Previous Quarter Ending (Poush End 2080)	Corresponding Previous Year Quarter Ending (Chaitra End 2079)
ASSETS			
Non-Current Assets			
Property, Plant and Equipment	6,642	7,384	8,213
Intangible Assets	5,828,351	5,884,279	6,011,765
Other Non Current Assets	63	57	622
Total Non-Current Assets	5,835,057	5,891,720	6,020,600
Current Assets			
Cash and Cash Equivalents	12,062	23,201	19,260
Bank Balance Other than Cash and Cash Equivalents	1,272	1,272	8,836
Other Financial Assets	100,485	120,920	108,256
Other Current Assets	21,792	10,803	19,102
Total Current Assets	135,611	156,196	155,454
Total Assets	5,970,668	6,047,916	6,176,054
EQUITY AND LIABILITIES			
Equity			
Equity Share Capital	1,500,000	1,500,000	1,500,000
Other Equity	(494,237)	(449,499)	(346,563)
Total Equity	1,005,763	1,050,501	1,153,437
Liabilities			
Non-Current Liabilities			
Borrowings	4,474,460	4,485,960	4,519,399
Other Financial Liabilities	190,253	190,253	196,562
Provisions	1,762	1,773	1,833
Total Non-Current Liabilities	4,666,475	4,677,986	4,717,795
Current Liabilities			
Borrowings	250,000	250,000	250,000
Trade Payables	4,701	1,538	949
Provisions	40,293	66,954	42,191
Other Financial Liabilities	-	-	10,645
Other Current Liabilities	3,436	937	1,038
Total Current Liabilities	298,430	319,429	304,823
Total Liabilities	4,964,905	4,997,415	5,022,618
Total Equity and Liabilities	5,970,668	6,047,916	6,176,054

UNAUDITED STATEMENT OF PROFIT & LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED CHAITRA 30, 2080

Figures in NPR '000

Particulars	This Quarter Ending (Chaitra End 2080)	Previous Quarter Ending (Poush End 2080)	Corresponding Previous Year Quarter Ending (Chaitra End 2079)
Revenue During Constuction Phase	-	-	-
Revenue from Operations	430,562	287,039	434,979
Cost Incurred During Construction Phase	-	-	-
Project Operating Expenses	(197,083)	(132,273)	(197,239)
Gross profit	233,479	154,766	237,740
Other Income	78	-	-
Administrative and Other Operating Expenses	(23,744)	(16,122)	(47,001)
Net Operating Profit	209,813	138,644	190,739
Finance Cost	(361,228)	(245,282)	(341,320)
Finance Income	234	195	91
Profit / (Loss) before Tax & Bonus	(151,180)	(106,443)	(150,491)
Provision for Staff Bonus	-	-	-
Provision for Reserves	-	-	(8,482)
Profit / (Loss) before Tax	(151,180)	(106,443)	(158,973)
Income Tax Expense	-	-	-
Net Profit for the year	(151,180)	(106,443)	(158,973)
Other Comprehensive Income	-	-	-
Total Comprehensive Gain/(Loss), Net of Tax	(151,180)	(106,443)	(158,973)

FIRST QUARTER DISCLOSURE AS OF CHAITRA 30, 2080 AS PER SECURITIES REGISTRATION AND ISSUANCE REGULATION Annexure -14 (Related to Sub-Regulation 1 of Regulation 26)

1 FINANCIAL STATEMENTS

- The Unaudited Financial Statements for the third quarter and key financial ratios have been published along with this report.
- Transactions with related parties: Business Transactions were conducted with related parties at arm's length in line with section 93(3c) of the Company Act, 2063. NHL has been availing promoter's loan and rental and other associated facilities from Butwal Power Company Limited and using various consultancy service as an when needed from Hydro Consult Engineering Ltd.
- Key Financial Indicators**

Period	Earning per share (Annualised)	Net Worth Per Share	Current Ratio	Price Earning Ratio	Return on Assets
This Quarter End	(13.44)	67.05	0.45	(22.55)	-2.53%
Previous Quarter End	(14.19)	70.03	0.49	(20.57)	-1.76%
Corresponding Previous Year Quarter End	(11.38)	76.90	0.51	(28.13)	-2.57%

2 MANAGEMENT ANALYSIS

- “Any changes in the Stock, Income and Liquidity during the quarter and the reason for change, if any”:** Stock/spare parts of the power plants equipments has been maintained at a sufficient level as provided by the Contractor as per the terms of the EPC Contract. Finance cost on Term Loan of the project do have serious impact on the company's profitability as it covers a majority portion of company's expense. Similarly, amortization of Intangible Assets during the period also affects the profitability of the company.
- “Statement of Management Analysis on the Company's upcoming Business Plans”:** The Company has not any such plan for other project developments other than for effective/efficient operation of the project rather than lobbying for the construction of 132 kV Tarikuna substation and reversal of “Take and Pay” clause to “Take and Pay” with Nepal Electricity Authority.
- “Analytical Statement on the possible effect on Company's Profitability, Stock and Cash Flows based on the past experience.”:** Due to the contingency plan with NEA i.e. Sale of energy on “Take and Pay Basis”, NEA has not taken full generation of the project in last quarter i.e. wet seasons and the company has to abide with the dispatch instruction from Load Dispatch Centre, NEA. This has made a serious impact on current financial year's profitability.

3 LEGAL PROCEEDINGS

- Case filed by or filed against the Company during the quarter, if any: None
- Case filed by or filed against the Company or its Promoter or Director for violation of the prevailing regulation or committing the criminal offense, if any: None
- Case filed against the Promoter or Director on Financial crime, if any: None

4 ANALYSIS OF COMPANY'S SHARE TRANSACTIONS

- NHL shares were actively traded during the third quarter.
- The major highlights of share transactions during the quarter are as follows:
- Maximum Price - NPR 328.00 ; Minimum Price - NPR 260.30 ; Closing Price - NPR 303 ; No. of Transaction Days - 58 ; Total Transactions - 11,990 ; Total Traded Volume - 1,052,233 and Total Traded Value- NPR. 316,274,585.40

5 PROBLEMS AND CHALLENGES

Internal

- Optimization and Retention of skilled human resources;
- Fund Management problem due to liquidity problem in financial market resulting increase in finance cost
- Managing the operational efficiency of the project

External

- Impact of Global Warming and Climate change effects and the amount of rain/snow fall in the project catchment area.
- Foreign Exchange Risk exposures in payment to contractors due to fluctuation of currency in the International Foreign Exchange Markets;
- Delay in construction of Tarikuna Substation & 132 kV Transmission Line by Nepal Electricity Authority and the financial impact to project due to Line loss and Generation loss for the evacuation of energy generated from the project as per the Contingency plan with NEA.

Strategies

- To maximize generation of powerplant with at least maintaining the contract energy of Power Purchase Agreement.
- To operate the powerplant efficiently and effectively.

6 CORPORATE GOVERNANCE

Board of Directors, Project Steering Committee, Audit Committee, Other Committees and Management Team are committed towards strengthening good corporate governance within the company. NHL has written manual, policies, rules & guidelines for proper functioning of the operation of the company.

7 DECLARATION OF CHIEF EXECUTIVE OFFICER ON TRUTH, TACTFULNESS

I, the Chief Executive Officer of this Company, take the responsibility of accuracy of the information and details mentioned in this report for the second quarter of FY 2080/81, hereby declare that the information and details provided in this Report are true, based on facts, and complete to the best of my knowledge and that information necessary for taking informed decision by the investors are not concealed.